



CHAPTER 30.

An Act to grant certain duties, to alter other duties, and to amend the law relating to the Public Revenue and the National Debt, and to make further provision in connection with Finance.

[22nd July 1941.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned: and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I.

CUSTOMS AND EXCISE.

1.—(1) The duties charged by virtue of subsection (1) of section one of the Finance Act, 1937, until the end of the fifteenth day of August, nineteen hundred and forty-one, namely—

- (a) the duties of customs charged on hops and extracts, essences or other similar preparations made from hops under subsection (1) of section seven of the Finance Act, 1925; and
- (b) the duty of customs charged on hop oil under the proviso to subsection (1) of section four of the Finance Act, 1929; and
- (c) the additional duty of customs charged in respect of beer under subsection (2) of section two of the Finance Act, 1933;

shall continue to be charged until the end of the fifteenth day of August, nineteen hundred and forty-five.

Hops, &c.
and beer.
1 Edw. 8 &
1 Geo. 6.
c. 54.
15 & 16
Geo. 5.
c. 36.
19 & 20
Geo. 5.
c. 21.
23 & 24
Geo. 5
c. 19.

PART I.
—*cont.*

(2) The drawback allowed by virtue of subsection (2) of section one of the Finance Act, 1937, until the end of the fifteenth day of November, nineteen hundred and forty-one, namely, 'the additional excise drawback allowed in respect of beer under subsection (4) of section two of the Finance Act, 1933, shall continue to be allowed until the end of the fifteenth day of November, nineteen hundred and forty-five.

Extension
of power to
exempt
from key
industry
duty.

16 & 17 Geo. 5
c. 22.
11 & 12 Geo. 5.
c. 47.

2. The power of the Treasury, under subsection (5) of section ten and subsection (1) of section twelve of the Finance Act, 1926, to exempt articles from the duty imposed by section one of the Safeguarding of Industries Act, 1921, as amended by the said Act of 1926 shall extend to all articles for the time being chargeable with duty under the said Act of 1921, whether as amended by the said Act of 1926 or by any subsequent enactment for the time being in force.

Extension
of section 8
of Finance
Act, 1940,
to officers,
and men
of the
Merchant
Navy.

3 & 4 Geo. 6.
c. 29.

3.—(1) Section eight of the Finance Act, 1940 (which authorises the issue to members of His Majesty's naval, military or air forces of permits to use mechanically-propelled vehicles when on leave), shall, subject to any regulations made by the Minister of War Transport, apply in relation to masters and members of the crews of British sea-going ships as it applies to members of His Majesty's naval, military or air forces.

(2) This section shall be deemed to have come into operation on the first day of July, nineteen hundred and forty-one, and any regulations made under this section, or made under the said section eight as respects masters and members of the crews of British sea-going ships, may be made to apply retrospectively as from the said day.

PART II.

INCOME TAX.

Income tax
for 1941-42.

4.—(1) Income tax for the year 1941-42 shall be charged at the standard rate of ten shillings in the pound, and, in the case of an individual whose total income exceeds one thousand five hundred pounds, at such higher rates in respect of the excess over one thousand five hundred pounds as Parliament may hereafter determine.

(2) All such enactments as had effect with respect to the income tax charged for the year 1940-41, other than such enactments as by their terms relate only to tax for that year, shall have effect with respect to the income tax charged for the year 1941-42.

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Higher
rates of
income tax
for 1940-41.

5. Income tax for the year 1940-41 shall be charged at rates exceeding the standard rate in the case of individuals whose total incomes exceed two thousand pounds and in respect of the

excess of their total incomes over that sum; and the said rates shall be rates in the pound which respectively exceed the standard rate for the year 1940-41 by the amounts specified in the second column of the Table in subsection (1) of section seven of the Finance (No. 2) Act, 1940.

PART II.
—cont.

3 & 4 Geo. 6.
c. 48.

6.—(1) Subsection (2) of section forty of the Finance Act, 1927 (which, as amended by subsequent enactments, provides for the reduction of the tax remaining chargeable after the allowance of other reliefs by a sum equal to seven-seventeenths of the amount so remaining chargeable or seven-seventeenths of the tax on one hundred and sixty-five pounds, whichever is the less) shall have effect as if the words "seven-twentieths" were substituted for the words "seven-seventeenths", in both places where they occur.

Alteration
of certain
reliefs.
17 & 18
Geo. 5. c. 10.

(2) Subsection (1) of section fifteen of the Finance Act, 1925 (which, as amended by subsequent enactments, provides for a deduction of tax on an amount equal to one-sixth of the amount of earned income, but not exceeding two hundred and fifty pounds) shall have effect as if—

- (a) the words "one-tenth" were substituted for the words "one-sixth"; and
- (b) the words "one hundred and fifty pounds" were substituted for the words "two hundred and fifty pounds",

and subsection (2) of the said section fifteen (which, as amended by subsequent enactments, provides, in a case where an individual or his wife is of the age of sixty-five or upwards and his total income does not exceed five hundred pounds, for a deduction of tax on an amount equal to one-sixth of his income) shall have effect as if the words "one-tenth" were substituted for the words "one-sixth".

(3) Section eighteen of the Finance Act, 1920 (which, as amended by subsequent enactments, provides, in the case of married persons, for a deduction of tax on one hundred and seventy pounds, increased, in a case where the total income of the claimant includes earned income of his wife, by an amount equal to five-sixths of that earned income, and, in the case of single persons, for a deduction of tax on one hundred pounds) shall have effect as if—

10 & 11
Geo. 5.
c. 18.

- (a) the words "one hundred and forty pounds" were substituted for the words "one hundred and seventy pounds"; and
- (b) the words "eighty pounds" were substituted for the words "one hundred pounds"; and
- (c) the words "nine-tenths" were substituted for the words "five-sixths".

PART II.

—cont.

25 & 26

Geo. 5.

c. 24.

(4) Section nineteen of the Finance Act, 1935 (which, as amended by subsequent enactments, exempts from tax incomes not exceeding one hundred and twenty pounds and limits the tax on incomes exceeding one hundred and twenty pounds but less than one hundred and forty pounds to one-half of the excess) shall have effect as if—

- (a) the words “ one hundred and ten pounds ” were substituted for the words “ one hundred and twenty pounds ” in both places where they occur; and
- (b) the words “ one hundred and thirty-three pounds ” were substituted for the words “ one hundred and forty pounds ”; and
- (c) the words “ three-quarters ” were substituted for the words “ one-half ”.

Provision
for the
crediting
of certain
amounts of
income tax.

7.—(1) Subject, as respects married persons, to the provisions of subsection (2) of this section, for every year of assessment for which subsections (2), (3) and (4) of the last preceding section are in force, there shall be ascertained and recorded, in relation to every individual who is entitled to any relief under subsection (1) or subsection (2) of section fifteen of the Finance Act, 1925, or under section eighteen of the Finance Act, 1920, the amount of tax ultimately borne by him which is attributable to the passing of the said subsections (2), (3) and (4); and the amount so ascertained and recorded shall be notified to him as soon as possible and shall be credited to him on such date as may be fixed by the Treasury, being a date so soon as may be after the termination of hostilities in the present war.

(2) If—

- (a) a man's wife has income for any such year and, in relation to that year, he is, and she is not, such an individual as is mentioned in subsection (1) of this section; and
- (b) an application that this subsection shall have effect in relation to them for that year is made by either of them in such manner and within such period as may be prescribed by regulations made by the Commissioners of Inland Revenue,

the amount ascertained and recorded under the said subsection (1) in relation to that man for that year shall, instead of being credited wholly to him, be credited partly to him and partly to her, in such proportions as may be agreed between them, or as may, in default of agreement, be determined by—

- (i) ascertaining what the said amount would have been if, in the said subsection (1), for the references to subsections (2), (3) and (4) of the last preceding section,

there had been substituted references to so much of the said subsection (2) as amends subsection (1) of section fifteen of the Finance Act, 1925; and

- (ii) apportioning that part of the amount between them in proportion to their respective earned incomes for the said year; and
- (iii) apportioning the remainder of the amount between them in proportion to their respective total incomes for the said year, reduced, if relief has been given for that year under subsection (1) of the said section fifteen, by the appropriate sum in respect of earned income relief.

In this subsection, the expression "the appropriate sum in respect of earned income relief" means, in relation to a man or his wife, a sum equal to one-tenth of his or her earned income for the year in question, or, if their combined earned incomes for the year exceed fifteen hundred pounds, a sum which bears to a hundred and fifty pounds the same proportion that his or her earned income for the year bears to their combined earned incomes for the year.

(3) The procedure for the ascertainment and recording of the amounts to be ascertained and recorded under subsection (1) of this section and for the determination of the matters to be determined under subsection (2) of this section shall be such as may be prescribed by regulations made by the Commissioners of Inland Revenue, and those regulations shall provide for the giving of notice to the persons affected and for appeals, and, without prejudice to the generality of the foregoing words, the regulations may apply any of the enactments relating to appeals from assessments to income tax.

(4) Any assignment of or charge on any amount to be credited under this section, and any agreement for any such assignment or charge, shall be void, and any such amount shall be exempt from death duties payable on any death occurring before the date fixed by the Treasury under subsection (1) of this section; but any claim to any such amount shall, subject as aforesaid, be transmissible as if it were a debt due from the Crown, and references in the foregoing provisions of this section to an individual, a man or his wife shall, except where the context otherwise requires, be deemed to include references to persons claiming through or under them respectively:

Provided that nothing in this subsection shall affect any assignment or charge made by the personal representatives of any person acting in their capacity as such, or any agreement for any such assignment or charge.

PART II.

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Extension
to 1941-42
of s. 11 of
the Finance
(No. 2) Act,
1939.
2 & 3 Geo. 6.
c. 109.

8. Section eleven of the Finance (No. 2) Act, 1939 (which grants relief in respect of diminution of earned income owing to circumstances directly or indirectly connected with the present war) shall apply in relation to tax for the year 1941-42 as it applies in relation to tax for the year 1939-40, with the adaptation that references to the year 1939-40 shall be construed as references to the year 1941-42 and references to the year 1938-39 shall be construed as references to the year 1940-41.

Limit to
relief in
respect of
insurance
premiums
to be
calculated
by reference
to pre-war
income.
8 & 9 Geo. 5.
c. 40.
2 & 3 Geo. 6.
c. 62.

9.—(1) This section applies to the relief to be granted under section thirty-two of the Income Tax Act, 1918 (which relates to life insurance premiums and other similar payments), for the year 1939-40 or any subsequent year of assessment for any part of which the Emergency Powers (Defence) Act, 1939, is in force.

(2) In paragraph (a) of subsection (3) of the said section thirty-two (which limits the amount in respect of which relief may be granted under that section to one-sixth of the taxpayer's total income) the reference to total income shall be construed as a reference to total income for the year of assessment in question or total income for the year 1938-39, whichever is the higher.

Farming
and market
gardening
to be
charged
under
Schedule D.

10.—(1) Subject, as respects farming and farm land, to the provisions of the next succeeding section, farming and market gardening shall be treated as trades for the purposes of income tax and accordingly—

(a) the profits or gains thereof shall be charged under Case I of Schedule D; and

(b) income tax shall not be charged under Schedule B in respect of the occupation of any farm land or market garden land:

Provided that where land is farm land or market garden land for part only of the year of assessment, tax shall be charged under Schedule B on that land for that year on so much of the assessable value of that land as is apportionable to the remainder of that year, and any such apportionment shall be made by reference to the number of months or parts of a month in the said remainder of the year.

(2) For the purposes of this and the next succeeding section the following expressions have the meanings hereby respectively assigned to them, that is to say,—

“ market garden land ” means land occupied as a nursery or garden for the sale of the produce (other than land used for the growth of hops) and “ market gardening ” shall be construed accordingly;

“ farm land ” means land wholly or mainly occupied for the purposes of husbandry, not being market garden land, and includes the farm house and farm buildings, if any, and “ farming ” shall be construed accordingly;

“ land ” means land in the United Kingdom;

“ period of computation ” means, in relation to a year of assessment, the period by reference to the profits or gains of which the profits or gains arising or accruing from farming are to be computed for that year.

(3) All the farming carried on by any particular person or partnership or body of persons shall be treated as one trade, and he or they shall be assessable and chargeable in respect of the profits or gains thereof in any of the parishes in which any part of his or their farm land is situated:

Provided that nothing in this subsection shall limit any right to make any assessment and charge in the place of ordinary residence.

(4) The question whether or not a trade has been discontinued or a new trade set up or commenced shall not, in the case of farming, be affected by the fact that, for particular years of assessment, the person or partnership or body of persons carrying on the farming is not or was not chargeable under Schedule D in respect thereof (whether by virtue of the next succeeding section or by reason of the fact that this section was not then in operation), and the period of computation for any year of assessment may, in the case of farming, be a period falling wholly or partly within a year or years of assessment for which the person, partnership or body of persons carrying on the farming was not chargeable under that Schedule.

(5) In considering, in relation to farming, whether any, and if so what, relief may be given to any person for the year 1941-42 or any subsequent year of assessment under section thirty-three of the Finance Act, 1926, or section twenty-nine of the Finance Act, 1927 (which relate to the carrying forward of losses) there may, if that person or a partnership of which he is a member is, by virtue of this section, chargeable under Schedule D for the year 1941-42 in respect of his or their farming, be carried forward to the year 1941-42 and subsequent years of assessment from the years of assessment preceding the year 1941-42 the amount (if any) which would have fallen to be carried forward to those years respectively if that person and every partnership of which he was a member had been charged under Schedule D in respect of his or their farming for all those preceding years and had been given in those preceding years all the relief which he or they could have been given under those sections if he or they had been so charged.

PART II.
—cont.

(6) Where on a claim made for the purposes of this subsection within twelve months from the end of the year 1941-42 it is proved that the profits or gains from farming in that year of any individual or partnership of individuals are less than the amount of the profits or gains by reference to which he or they is or are charged under this section for that year—

- (a) that individual or partnership of individuals shall be entitled to such relief from income tax, other than surtax, as will reduce the amount of income tax, other than surtax, payable to the amount which would have been payable if he or they had been charged by reference to the actual profits or gains for that year;
- (b) the individual, or, in the case of a partnership of individuals, each of the individuals, shall be entitled to such relief from the surtax, if any, payable by him for that year as will reduce the amount of surtax so payable to the amount which would have been payable if the individual or, as the case may be, the partnership had been charged as aforesaid.

Cases where farming is exempted from compulsory assessment under Schedule D.

11.—(1) If, for the year 1941-42 or any subsequent year of assessment, the total annual value of the farm and market garden land of an individual in the relevant period, together with so much of the annual value of the farm and market garden land of any partnership of which he is a member during that period as is proportionate to his share for that period in the partnership income, does not exceed three hundred pounds in all, so much of the last preceding section as requires the profits or gains of farming to be charged under Schedule D as the profits or gains of a trade shall not apply in relation to him for that year of assessment and he shall be assessed and charged to income tax for that year in respect of the occupation of his farm land as if the said provisions had not been passed.

(2) In this section the expression “the relevant period” means, in relation to any year of assessment, the twelve months immediately preceding that year of assessment, unless the individual in question began farming during the year of assessment, in which case it means that part of the year of assessment during which he was farming.

(3) In this section the expression “annual value” means, in relation to any land, the total annual value thereof for the purposes of Schedule A (whether or not separately assessed under that Schedule) before any reduction is made for the purposes of collection:

Provided that where—

- (a) any land is not occupied by a particular individual or partnership for the whole of the relevant period; or

- (b) any land is occupied by a particular individual or partnership for the whole of the relevant period but the relevant period is less than twelve months,

the annual value of the land shall, in relation to that individual or partnership, be deemed for the purposes of this section to be reduced so as to bear to the full amount thereof the same proportion that the length of the period for which the land is so occupied during the relevant period, or the length of the relevant period, as the case may be, bears to twelve months.

(4) The foregoing provisions of this section shall apply in relation to any body of individuals carrying on farming in partnership as they apply in relation to an individual:

Provided that the said provisions shall not apply to any partnership in the case of any year of assessment if any of the partners carries on farming in that year of assessment in such circumstances that the said provisions do not apply to him.

(5) If, for the year 1941-42 or any subsequent year of assessment, an individual or a partnership of which an individual is a member is assessed under Schedule B in respect of any of his or their farming land, that individual shall not, for the year for which he is so assessed or any subsequent year, be allowed any deduction or set off under section thirty-three of the Finance Act, 1926, or section twenty-nine of the Finance Act, 1927, in respect of any loss sustained in farming in any year previous to the year for which he is so assessed.

12.—(1) An assessment to income tax made under Rule 8 of No. VII of Schedule A shall be valid as against all persons although not made on the person who should have been assessed and the tax under any assessment to income tax made under the said Rule 8 may be recovered from the person who is the landlord of the land to which the assessment relates on the first day of January in the year of assessment for which the assessment was made:

Provisions
as to
assessments
made under
Rule 8 of
No. VII of
Schedule A.

Provided that where that person is not the person named in the assessment the provisions of Part I of the First Schedule to this Act shall have effect in relation to the recovery of that tax from him.

(2) Any tax under any assessment to income tax made under the said Rule 8 may also (so far as not otherwise recovered) be recovered in accordance with the provisions of Part II of the said Schedule by requiring rent to be paid over in or towards the satisfaction of the tax.

(3) Any tax under any assessment to income tax made under the said Rule 8 in respect of any house or building let in different

PART II.
—cont.

apartments or tenements and occupied by two or more persons severally may also (so far as not otherwise recovered) be recovered from all or any of those persons in accordance with the provisions of Part III of the said Schedule.

(4) The powers conferred by the last preceding subsection shall, as respects the cases to which that subsection applies, be in lieu of the power conferred by the proviso to Rule 8 of No. VII of Schedule A to recover from the occupiers, but, save as aforesaid, the powers conferred by this section are in addition to and not in derogation of any other powers conferred by the Income Tax Acts for the recovery of tax.

Recovery of
Schedule A
tax from
immediate
lessor.

13.—(1) Any tax payable under Schedule A for any year of assessment in respect of any land which is not otherwise recovered may be recovered from the person who is for the time being the immediate lessor of the land as if he had been charged therewith and in the same way as any other tax charged on him may be recovered:

Provided that the tax recovered under this section shall not exceed tax at the standard rate for the said year of assessment on the total sums becoming payable during the year by way of rent under short leases of the land or of any part thereof, being rent payable to, or to the assignee of, the person who was the immediate lessor of the land when the rent became payable.

(2) In this section, the expressions "immediate lessor" and "short lease" have the meanings assigned to them by section thirteen of the Finance Act, 1940.

(3) Subsection (2) of section fourteen of the Finance Act, 1940 (which authorises recovery of tax from immediate lessors of unoccupied houses), is hereby repealed.

Informa-
tion.

14.—(1) For the purpose of facilitating the recovery of tax assessed under Schedule A in respect of any land, the surveyor or the collector may serve on any person who is or has been liable to pay rent for the whole or any part of that land or is or has been in receipt of any such rent, whether on his own behalf or on behalf of another, a notice in the prescribed form requiring him to furnish, within such time as may be specified in the notice, such particulars with respect to the amount of the rent, the dates on which it is or was payable and the person to whom it is or was payable or, as the case may be, is or was accounted for, as may be so specified.

(2) Any person who fails to comply with the requirements of a notice duly served on him under this section, or, in furnishing the particulars required by any such notice, makes any statement which he knows to be false in any material particular or recklessly makes any statement which is false in any material particular, shall be liable to a penalty not exceeding fifty pounds.

15.—(1) In the three last preceding sections and in the First Schedule to this Act, the expression "land" includes tenements, hereditaments and heritages, and the expression "prescribed" means prescribed by the Commissioners of Inland Revenue.

PART II.
—cont.
Provisions
supple-
mental to
three
preceding
sections.

(2) Any notice to be served under the said sections or the said Schedule may be served by post.

(3) The said sections and the said Schedule shall apply in relation to assessments made before the passing of this Act (for whatever year of assessment) and to assessments made thereafter, but nothing therein shall affect any legal proceedings instituted, or render illegal anything done, before the passing of this Act for the recovery of any tax.

16.—(1) Where—

- (a) any land which is the subject of a short lease suffers war damage, and in consequence the lease comes to an end or the rent thereunder ceases to be payable or is reduced; and
- (b) the Commissioners of Inland Revenue are satisfied that the lessee is unable to deduct tax which he would otherwise have been entitled to deduct under any of the Rules of No. VIII of Schedule A,

Provisions
as to
Schedule A
tax on land
sustaining
war
damage.

those Commissioners shall give to him, by repayment or otherwise, such relief from tax as will in their opinion reduce the amount of tax under Schedule A ultimately borne by him in respect of the land for the year of assessment (or that part thereof for which tax is payable) to what it would have been if the damage had not occurred.

(2) Where relief is given under subsection (1) of this section, the tax covered by the relief may be recovered from the persons by whom it would have ultimately been borne if the damage had not occurred, as if they had been respectively charged therewith and in the same way as any other tax charged on them may be recovered.

(3) In this section the expressions "land" and "short lease" have the meanings assigned to them by section thirteen of the Finance Act, 1940, and the expression "war damage" has the meaning assigned to it by section eighty of the War Damage Act, 1941; and for the purposes of this section a person shall be deemed ultimately to bear tax under Schedule A in respect of any land to the extent, and to the extent only, that tax has been paid by him in respect thereof by deduction or otherwise and is not deductible by him under any of the Rules of No. VIII of Schedule A from rent payable by him in respect of the land.

4 & 5
Geo. 6.
c. 12.

PART II.
—cont.

(4) This section shall apply to tax for the year 1940-41 and any subsequent year of assessment.

Disallow-
ance for
income tax
purposes
of certain
payments in
respect of
war injuries
to
employees.

17.—(1) In computing the amount of the profits or gains, or total income, of any person for any purpose of the Income Tax Acts, no sum shall be deducted in respect of any payment made by him to which this section applies.

(2) No payment to which this section applies shall be included in computing—

- (a) the expenses of management in respect of which relief may be claimed under section thirty-three of the Income Tax Act, 1918; or
- (b) the cost of maintenance, repairs, insurance and management in respect of which relief may be claimed under Rule 8 of No. V of Schedule A; or
- (c) the expenses of management or supervision in respect of which relief may be claimed under section twenty-six of the Finance Act, 1922.

12 & 13
Geo. 5.
c. 17.

(3) This section applies—

- (a) to any payments by way of benefit made by any person to, or to the personal representatives or dependants of, any employees of his on account of their incapacity, retirement or death owing to war injuries, whether sustained in the United Kingdom or elsewhere;
- (b) to any payments made by any person by way of premium or contribution under any policy, agreement, scheme or arrangement providing for the payment of benefits to, or to the personal representatives or dependants of, any employees of his on account of their incapacity, retirement or death as aforesaid:

Provided that—

- (i) this section shall not apply to any payment (whether by way of benefit or by way of premium or contribution) which is payable under any policy, agreement, scheme or arrangement made before the third day of September, nineteen hundred and thirty-nine, except to the extent that the amount of the payment is increased by any variation of the terms of that policy, agreement, scheme or arrangement made on or after that date;
- (ii) this section shall not apply to any payment by way of benefit if, in the opinion of the Commissioners of Inland Revenue, that payment was made under an established practice which was such

that the same or a greater payment would have been made if the incapacity, retirement or death had not been due to war injuries.

PART II.
—cont.

(4) Where a person makes a payment by way of benefit to which this section applies and, in the opinion of the Commissioners of Inland Revenue, there is an established practice under which a smaller payment would have been made if the incapacity, retirement or death had not been due to war injuries, the deduction or inclusion of an amount equal to that smaller payment shall not be disallowed by virtue only of subsection (1) or subsection (2) of this section.

(5) Where a person makes a payment to which this section applies by way of premium or contribution and the policy, agreement, scheme or arrangement provides for the payment of any benefit in the event of incapacity, retirement or death not due to war injuries, the deduction or inclusion of so much of the payment of premium or contribution as, in the opinion of the Commissioners of Inland Revenue, is properly attributable to benefit payable in the event of incapacity, retirement or death not due to war injuries shall not be disallowed by virtue only of subsection (1) or subsection (2) of this section.

(6) In this section the expression "war injuries" has the meaning assigned to it by the Personal Injuries (Emergency Provisions) Act, 1939.

2 & 3
Geo. 6.
c. 82.

18.—(1) This section applies to any arrangements made with a view to the concentration of industry or business in the hands of fewer persons, being arrangements certified by or on behalf of the Board of Trade to be approved by them and to be in their opinion in the national interest, having regard to the exigencies of the present war.

Trades
affected
by certain
arrange-
ments for
concentra-
tion of
industry
or business.

(2) Where, in pursuance of any such arrangements, a person ceases to carry on all or any of the activities theretofore carried on by him in connection with his trade, or undertakes activities not theretofore carried on by him in connection with his trade, the cessation or undertaking of the activities shall not be treated, for any of the purposes of the Income Tax Acts, as effecting a discontinuance of that trade or the setting up or commencement of a new trade.

(3) Any sum becoming payable, in pursuance of any such arrangements, to, or to the successor of, any such person as is mentioned in the last preceding subsection by any other person who was or has become a party to the arrangements, not being a sum in the nature of a capital payment or a sum from which

PART II. income tax has been deducted under any provision of the
 —*cont.* Income Tax Acts, shall—

- (a) notwithstanding anything contained in Rule 3 of the Rules applicable to Cases I and II of Schedule D, be allowed as a deduction in computing, for any of the purposes of the Income Tax Acts, the profits or gains of the trade of the person by whom the said sum becomes payable; and
- (b) be treated for the purposes of the Income Tax Acts as a trading receipt of the person to whom the said sum becomes payable and be taken into account accordingly in computing the profits or gains of the trade of that person.

(4) Where, in pursuance of any such arrangements as aforesaid, machinery or plant of any such person as is mentioned in subsection (2) of this section remains unused during any period, the amount of any deduction allowable under Rule 6 of the Rules applicable to Cases I and II of Schedule D in respect of the wear and tear of that machinery or plant shall be computed as if the machinery or plant were in normal use.

(5) For the purposes of this section the expression " person " includes a partnership.

Allowance
for
exceptional
depreciation.

19.—(1) Where any buildings, machinery or plant have, after the beginning of the year nineteen hundred and thirty-seven, been provided for the purposes of a trade by the person carrying on that trade, then, if either—

- (a) on such date as Parliament may hereafter determine, the buildings, machinery or plant have, wholly or partially, become obsolete or ceased to be required and the value thereof is less than the net cost thereof; or
- (b) the buildings, machinery or plant are sold before the said date at a price which is less than the net cost thereof,

and in either case the deficiency is wholly or mainly ascribable to conditions prevailing as a consequence of the present war and exceeds—

- (i) the aggregate amount of any deductions for wear and tear or depreciation already allowed in respect of the buildings, machinery or plant otherwise than under this section; plus
- (ii) any payments made or to be made under Part I or Part II of the War Damage Act, 1941, in respect of damage to the buildings, machinery or plant, other than payments in respect of damage made good before

the said date or before the previous sale of the buildings, machinery or plant, as the case may be,

PART II.
—cont.

there may be allowed in charging the profits or gains of the trade under Schedule D for the year 1939-40, and every subsequent year of assessment, such proportion of the excess as is properly attributable to the year in question.

The reference in this subsection to deductions for wear and tear shall be construed as including a reference to the additional deduction under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938.

22 & 23
Geo. 5.
c. 25.
1 & 2
Geo. 6.
c. 46.

(2) Pending an ascertainment whether any allowance falls to be made under subsection (1) of this section in respect of buildings, machinery or plant, the Commissioners of Inland Revenue, if they are satisfied that any buildings, machinery or plant provided as aforesaid are of such a character that it is likely that the conditions specified in that subsection will be fulfilled in the case thereof, may direct that there shall be allowed in any such year of assessment as aforesaid such sums as they think fit, not exceeding ten per cent. of the net cost of the buildings, machinery or plant, but any such allowance shall be provisional only, and on the coming of the said date, or, as the case may be, on the previous sale of the buildings, machinery or plant, the amount thereof shall be adjusted so as to accord with the provisions of the said subsection.

(3) In this section, the expression "net cost" means, in relation to any buildings, machinery or plant, the cost of the provision thereof (being cost of a capital nature) less any sum provided, or to be provided, directly or indirectly by the Crown or by any government or public or local authority, whether in the United Kingdom or elsewhere, or by any other person other than the person carrying on the trade, towards the cost of the provision of the buildings, machinery or plant, or towards any wear and tear or depreciation thereof, not being a sum provided, or to be provided, either by way of loan or under Part I or Part II of the War Damage Act, 1941; and references to Part I of the War Damage Act, 1941, shall be construed as including references to any similar Act applying to war damage to which the said Part I does not apply.

(4) Where a trade has been transferred by one person to another person, any buildings, machinery or plant provided for the purposes of the trade by the person transferring it which were transferred with the trade and continue to be used for those purposes after the transfer shall, for the purposes of this section, be deemed to have been provided for the purposes of the trade

PART II.
—*cont.*

not only by the person transferring the trade but also by the person to whom the trade is transferred:

Provided that the amount of any allowance granted under this section to the person to whom the trade is transferred shall, if necessary, be so reduced as to secure that the total allowances granted to the said persons in respect of any buildings, machinery or plant affected by the transfer are not greater than the total allowances which could have been granted to the person making the transfer if the transfer had not taken place.

The provisions of this subsection shall apply in relation to the transfer of part of a trade as they apply in relation to the transfer of the whole of a trade.

(5) Where, for any purpose of the Income Tax Acts, account is required to be taken of any deductions allowed or deemed to have been allowed in respect of wear and tear of any machinery or plant for any years prior to the year of assessment, or of the aggregate of the amount of those deductions and of any such deduction for the year of assessment, any allowance which has been made in respect of the machinery or plant under the provisions of this section for any of the said years, or which could have been so made if the profits or gains of the trade had been assessable under Schedule D for that year, shall, for that purpose, be treated as if it were part of the deduction in respect of wear and tear for that year.

(6) If for any year of assessment tax has been charged without such allowance as is due for that year by virtue of the provisions of this section having been given, or without it having been given to the full extent, such adjustment as may be necessary to give effect to those provisions shall be made by repayment or otherwise, and if any allowance or deduction has been given which, by virtue of the provisions of this section, should not be given, or has been given to a greater extent than is proper under this section, such additional assessments as may be necessary shall be made.

Extension of
Rule 13 of Rules
applicable to
Cases I and II
of Schedule D
to professions
and vocations.

20. Rule 13 of the Rules applicable to Cases I and II of Schedule D (which provides for the set off of losses against profits where a person carries on two or more distinct trades) shall have effect as if any reference therein to a trade included a reference to a profession or vocation.

Place of
assessment
under
Schedules
D. and E.

21.—(1) Where, owing to circumstances directly or indirectly connected with the present war, a trade, profession or vocation is being carried on in a parish other than that in which it was previously carried on, and either—

(a) the person carrying on the trade, profession or vocation delivers to the surveyor, before the end of June in the

year of assessment, a notice of his request that he may be assessed and charged under Schedule D in a parish specified in the notice, being a parish in which the trade, profession or vocation has been carried on at any time since the sixth day of April, nineteen hundred and thirty-nine; or

PART II.
—cont.

- (b) the surveyor delivers to him a notice stating that unless within twenty-one days from the date of the notice he objects in writing to the surveyor he will be assessed and charged under Schedule D in a parish specified in the notice, being such a parish as aforesaid, and he does not so object,

he shall be assessed and charged accordingly instead of in the parish in which he would have been assessable and chargeable if this subsection had not been passed:

Provided that, in relation to the year 1941-42, paragraph (a) of this subsection shall have effect as if for the word "June" there were substituted the word "August".

(2) Where, owing to circumstances directly or indirectly connected with the present war, it is in the opinion of the Commissioners of Inland Revenue expedient that a person assessable under Schedule E should be assessed and charged under that Schedule in some parish other than that in which he would be assessed and charged but for the provisions of this section, he shall be assessed and charged accordingly:

Provided that a person assessed and charged in accordance with this subsection shall, unless he appeals to the General Commissioners for the parish in which he is assessed and charged, have the same rights of appeal to the same Commissioners as he would have had if he had been assessed and charged in the parish in which he would have been assessable and chargeable if this subsection had not been passed.

22. In section one hundred and five of the Income Tax Act, 1918 (which requires employers to give particulars of payments made to certain employees), for the words "except persons who are not employed in any other employment and whose remuneration in the employment for the year does not exceed one hundred and twenty pounds" there shall be substituted the words "except persons who are not employed in any other employment and whose remuneration in the employment for the year does not exceed one hundred and ten pounds or, if the employment is for less than the year, a proportionately reduced amount."

Information
as to
payments to
employees.

23. If it is shown in the case of a weekly wage earner assessed to income tax in accordance with Rule 2 of the rules applicable to Cases I and II of Schedule D that his place of work or his

Expenses
of weekly
wage
earners in

PART II.
—*cont.*
travelling
to and from
their work.

residence has changed through circumstances connected with the present war, and that in consequence he is obliged to incur and defray out of his wages additional expense in travelling between his residence and his work, the additional expense so incurred and defrayed by him in the half year, up to five pounds, shall be deducted from the wages to be assessed for the half year.

Rents under
long leases
&c. in
Scotland.

24.—(1) Any payment made in respect of land in Scotland for the period ending on the fifteenth day of May in any year, being a payment to which section seventeen of the Finance Act, 1940 (which applies to rents under long leases and other annual payments in respect of land) applies, shall be treated for the purposes of the Income Tax Acts as if it had become due at the commencement of that period.

(2) In this section the expression "land" has the same meaning as in the said section seventeen.

Tax-free Payments, &c.

Modifica-
tion of
provisions
for tax-free
annuities,
&c.

25.—(1) Subject to the provisions of this section, any provision, however worded, for the payment, whether periodically or otherwise, of a stated amount free of income tax, or free of income tax other than surtax, being a provision which—

(a) is contained in any deed or other instrument, in any will or codicil, in any order of any court, in any local or personal Act, or in any contract, whether oral or in writing; and

(b) was made before the third day of September, nineteen hundred and thirty-nine; and

(c) has not been varied on or after that date,

shall, as respects payments falling to be made during any year of assessment, the standard rate of income tax for which is ten shillings in the pound, have effect as if for the stated amount there were substituted an amount equal to twenty twenty-ninths thereof.

(2) Where any such provision as is mentioned in subsection (1) of this section is a provision for a payment free of income tax (and not merely a provision for a payment free of income tax other than surtax) the sum, if any, to be paid under that provision to make good the requirement that the payment shall be free of surtax shall, in the case of surtax for the year preceding any such year of assessment as is mentioned in the said subsection (1), be reduced to twenty twenty-ninths of the sum which would have been sufficient for that purpose if the rates of surtax in force for the year 1937-38 had applied to the year for which the surtax is payable.

(3) A person who is entitled under any such provision as is mentioned in subsection (1) of this section to a payment free of

income tax, or free of income tax other than surtax, shall be entitled to the following adjustment of his surtax for the year 1940-41, that is to say, his total income for that year, so far as it is ascribable to his rights under that provision, shall be reduced to what it would have been if in his case—

PART II.
—cont.

- (a) the rates of surtax in force for the year 1937-38 had applied also to the years 1938-39, 1939-40 and 1940-41; and
- (b) the 1938-39 rates of income-tax, other than surtax, had applied also to the years 1939-40 and 1940-41; and
- (c) the rights and liabilities of the persons concerned had been modified accordingly.

(4) If, in the case of a payment to which subsection (1) of this section applies, the relations of the payee and payor are such that the payee is accountable to the payor for so much of any relief from income tax which he receives as is ascribable to the payment—

- (a) the liability of the payee to account to the payor shall be limited to twenty twenty-ninths of the sum for which he would have been accountable if the 1938-39 rates of income tax, other than surtax, had applied to the year of assessment in which the payment falls to be made, and the foregoing provisions of this section had not passed; and
- (b) the relief to be given shall be calculated as if—
 - (i) the gross sum represented by the payment were what it would have been if the 1938-39 rates of income tax, other than surtax, had applied to the year of assessment in which the payment falls to be made, and the foregoing provisions of this section had not passed; and
 - (ii) that gross sum had borne income tax at ten shillings in the pound.

(5) This section shall not—

- (a) affect any provision falling within Rule 23 of the General Rules (which renders invalid agreements not to deduct tax);
- (b) affect any provision if, by virtue of any provision in the same or any other deed, instrument, will, codicil, order, local or personal Act or contract, which contemplates rises in the rates of income tax, the payments thereunder have ceased, or, in the event of further rises in the rates of income tax, may cease, to be wholly free of income tax, or, as the case may be, wholly free of income tax other than surtax;

PART II.
—cont.

(c) apply to any emoluments of any office, employment, annuity, pension or stipend taxed under Schedule E;
or

(d) apply to any dividends or shares of profits.

Modifica-
tion of
provisions
for tax-free
salaries,
pensions,
&c.

26.—(1) This section applies to offices, employments, annuities, pensions and stipends taxed under Schedule E, where by virtue of—

(a) some provision which is contained in a contract (whether oral or in writing) made before the third day of September, nineteen hundred and thirty-nine, and which has not been varied on or after that date; or

(b) some provision which is contained in an enactment passed before the said third day of September and which has not been amended on or after that date,

the emoluments include a payment to or for the benefit of the recipient of the emoluments in respect of his income tax.

(2) The amount, if any, payable, in a case to which this section applies, to or for the benefit of the recipient of the emoluments in respect of his income tax for the year 1941-42 or any subsequent year of assessment, other than surtax, shall not exceed the amount which would have been payable if the 1938-39 rates of income tax, other than surtax, had applied to the year of assessment in question.

(3) The amount, if any, payable, in a case to which this section applies, to or for the benefit of the recipient of the emoluments in respect of his surtax for the year 1940-41 or any subsequent year of assessment shall not exceed the amount which would have been payable if the rates of surtax in force for the year 1937-38 had applied to the year of assessment in question.

(4) In a case to which this section applies, the recipient of the emoluments shall be entitled to the following adjustments of his liability to income tax for the year 1941-42 and surtax for the year 1940-41, that is to say, his total emoluments for the purposes of the said income tax, and his total income for the purposes of the said surtax so far as it is ascribable to the emoluments, shall be reduced to what they would have been if in his case—

(a) the rates of surtax in force for the year 1937-38 had applied also to the years 1938-39, 1939-40 and 1940-41; and

(b) the 1938-39 rates of income tax, other than surtax, had applied also to the years 1939-40 and 1940-41; and

(c) the rights and liabilities of the persons concerned had been modified accordingly.

27.—(1) For the purposes of the provisions of this Act relating to tax free payments—

- (a) a provision, however worded, for the payment of such sum as will after deduction of income tax be equal to a stated amount, shall be treated as a provision for the payment of the said stated amount free of income tax, other than surtax; and
- (b) the expression “ a stated amount ” includes a stated fraction of the gross amount of any specified income (that is to say, of the amount of that income before income tax has been charged thereon, whether by deduction or otherwise), but does not include a stated fraction of the net amount of any specified income (that is to say, of the amount of that income after it has been charged to income tax, whether by deduction or otherwise);
- (c) the expression “ if the 1938-39 rates of income tax, other than surtax, had applied ” means, in relation to a year of assessment, if the standard rate of tax for the year had been five shillings and sixpence in the pound and the provisions of the Income Tax Acts relating to relief from tax had not been amended in any respect by any Act passed since the third day of September, nineteen hundred and thirty-nine.

(2) The Treasury may by regulations provide for adjustments between parties where payments to which the said provisions of this Act apply have been made before the passing of this Act otherwise than in accordance with those provisions.

PART II.
—cont.

Interpretation of provisions relating to tax-free payments and power to make regulations.

PART III.

EXCESS PROFITS TAX AND THE NATIONAL DEFENCE CONTRIBUTION.

28.—(1) After the termination of hostilities in the present war, there shall be ascertained and recorded, as respects every person who has paid any excess profits tax for any of the periods in respect of which the tax is chargeable at the rate of a hundred per cent., the amount (if any) by which the total sum paid by him by way of excess profits tax and the national defence contribution (less any sum repaid or repayable on account of any deficiency of profits or otherwise) would have been decreased if the rate of excess profits tax had been eighty per cent. in respect of all those periods, and the amount so ascertained and recorded as aforesaid shall, if such conditions as Parliament may hereafter determine are satisfied, be repaid at such date as Parliament may hereafter determine:

Provision for the repayment after the war of certain excess profits tax.

PART III.
—cont.

Provided that, in ascertaining the said amount, the capital employed in the trade or business shall be computed on the basis that the rate of tax during the said periods was a hundred per cent.

(2) The procedure for the ascertainment and recording of the said amounts shall be such as may be prescribed by regulations made by the Commissioners, and those regulations shall provide for the giving of notice to the persons affected and, without prejudice to the generality of the foregoing words, may apply, with or without modifications, any of the enactments relating to appeals against assessments to excess profits tax.

Borrowed
money to
be treated
as capital.

29.—(1) In computing the amount of the capital employed in a trade or business, no deduction shall be made in respect of borrowed money.

(2) In computing the profits of a trade or business, no deduction shall be made in respect of interest on borrowed money or in respect of any other consideration given for the use of borrowed money:

Provided that—

(a) this subsection shall not prevent the making of any deduction in respect of any such interest or consideration in computing the profits of a trade or business for any chargeable accounting period the standard profits for which are ascertained by reference to the minimum amount specified in subsection (2) of section thirteen of the Finance (No. 2) Act, 1939;

(b) in computing capital, the same deduction shall be made in respect of accruing liabilities for interest as would have had to be made if this subsection had not been passed.

(3) Without prejudice to the generality of the foregoing provisions of this section, section twenty-seven of the Finance Act, 1940, shall have effect subject to the following provisions as respects borrowed money, that is to say—

(a) subsection (2) shall have effect as if, at the end of paragraph (ii) of the proviso, the following words were inserted—

“ and

(iii) on the average amount of the borrowed money, if any, employed in the trade or business in the standard period, at six per cent., or, in the case of a company the directors whereof had a controlling interest therein, eight per cent., per annum; ”

(b) subsection (3) shall have effect as if—

- (i) after the words “ the paid-up share capital of the body corporate in the standard period ” there were inserted the words “ together with any borrowed money employed in the trade or business in that period ”; and
 - (ii) in paragraph (a) of the proviso, for the words from “ and deducting borrowed money and debts ” to the end of that paragraph, there were substituted the words “ and deducting debts, other than debts for borrowed money ”;
- (c) subsection (4) shall have effect as if after the words “ the paid-up share capital in the standard period ” there were inserted the words “ together with any borrowed money employed in the trade or business in that period ”.

(4) Without prejudice to the generality of any of the foregoing provisions of this section, if the average rate of interest per cent. per annum actually payable in respect of the borrowed money employed in a trade or business in the standard period, increased by two per cent., is greater than the rate applicable under section twenty-seven of the Finance Act, 1940, the limits under subsections (2), (3) and (5) of the said section twenty-seven shall be raised in the case of that trade or business by the difference between—

- (a) an amount equal to interest for the standard period at the said average rate, as so increased, on the average amount of the borrowed money employed in the trade or business in the standard period; and
- (b) an amount equal to interest on that average amount for that period at the rate applicable under the said section twenty-seven.

In this subsection, references to the rate applicable under the said section twenty-seven shall be construed as references to the rate per cent. per annum which, apart from the provisions of this subsection, would be applicable under the proviso to subsection (2) of that section to the average amount of the borrowed money employed in the trade or business in the standard period; and the reference to the limits under subsections (2), (3) and (5) of that section shall be construed as a reference to the amounts fixed by the proviso to the said subsection (2), by the proviso to the said subsection (3) and by the said subsection (5), as the maximum amounts which, in the cases to which those provisions respectively apply, may, by virtue of that section, be treated in ascertaining the standard profits for a full year as being the profits of the standard period.

PART III.
—*cont.*

(5) In this section, and in section twenty-seven of the Finance Act, 1940, as amended by this section, the expression "borrowed money" means borrowed money which, apart from the provisions of this section, would have been deductible in computing capital.

(6) This section—

- (a) shall not apply in the case of the business of a building society, or of a banking business, assurance business or business consisting wholly or mainly in the dealing in or holding of investments;
- (b) shall, in relation to a trade or business part of which consists in banking, assurance or dealing in investments, not being such a business as aforesaid, have effect only in relation to borrowed money not ascribable to that part of the trade or business:

Provided that paragraph (a) of this subsection shall not apply to a business carried on by a body corporate, if—

- (i) it is a member of a group of companies to which subsection (1) of section twenty-nine of the Finance Act, 1940, applies; and
- (ii) its circumstances are such that paragraph (iii) of the said subsection (1) has the effect of requiring all its income from such investments as are mentioned in that paragraph to be left out of account in computing profits, or would have that effect if it had any such income.

(7) This section applies to the computation of the profits or loss, and the standard profits, of a trade or business for any chargeable accounting period ending after the end of March, nineteen hundred and forty, subject, however, as respects any such chargeable accounting period which begins before the said end of March, to the provisions of section thirty-three of this Act.

Addition to
standard
profits for
reductions
of capital
caused by
losses.

30.—(1) In computing under subsection (8) of section thirteen of the Finance (No. 2) Act, 1939, the standard profits for a full year of a trade or business commenced after the first day of July nineteen hundred and thirty-six, the average amount of the capital employed in the trade or business in the chargeable accounting period in question shall be treated as increased by the amount of any net loss sustained in carrying on the trade or business over the period beginning with the commencement of the trade or business and ending with the end of March, nineteen hundred and thirty-nine.

(2) Section twenty-seven of the Finance Act, 1940, shall have effect subject to the following provisions as respects losses, that is to say,—

- (a) if, in relation to any date in the standard period, a net loss has been sustained in carrying on the trade or business over the period which begins with the first day of January, nineteen hundred and twenty-nine, or with the commencement of the trade or business, whichever is the later, and ends immediately before the said date in the standard period, the limit under subsection (3) and the limit under subsection (5) shall be computed as if the capital employed in the trade or business on the said date in the standard period were increased by the amount of that loss; and
- (b) if, over the period which begins as aforesaid and ends with the commencement of the standard period, a net loss has been sustained in carrying on the trade or business, the limit under subsection (3) shall be computed as if the value of the assets employed in the trade or business, and the capital employed in the trade or business, immediately before the commencement of the standard period were increased by the amount of that loss; and
- (c) in any event, for the references in subsections (3) and (4) to the net value of the assets employed in the trade or business in the standard period there shall be substituted references to the amount interest on which is the limit under subsection (3).

In this subsection, the expressions “the limit under subsection (3)” and “the limit under subsection (5)” mean, respectively, the amounts fixed by the proviso to subsection (3), and by subsection (5), of the said section twenty-seven as the maximum amounts which, in the cases to which those provisions apply, may be treated in ascertaining the standard profits for a full year as being the profits of the standard period.

(3) The question whether any, and if so what, net loss has been sustained over any such period as is mentioned in this section shall be determined for the purposes of this section in accordance with the provisions applicable to the computation for the purpose of excess profits tax of the profits of a chargeable accounting period beginning with the first day of April, nineteen hundred and forty, and ending with the thirty-first day of March, nineteen hundred and forty-one:

Provided that—

- (a) subsection (2) of the last preceding section (which prevents the deduction of interest on borrowed money) shall not apply; and

PART III.
—cont.

- (b) the additional percentage in respect of wear and tear, for which provision is made under paragraph 2 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939, shall not be allowed in respect of the period before the end of March, nineteen hundred and thirty-two, shall be at the rate of ten per cent. in respect of the period between the end of March, nineteen hundred and thirty-two, and the end of March, nineteen hundred and thirty-eight, and shall be at the rate of twenty per cent. as respects the period after the end of March, nineteen hundred and thirty-eight.

(4) The provisions of subsection (1) or, as the case may be, subsection (2) of this section shall not apply in relation to any trade or business unless it is shown to the satisfaction of the Commissioners that—

- (a) in the case of subsection (1), over the period beginning with the commencement of the trade or business and ending with the end of March, nineteen hundred and thirty-nine; and
- (b) in the case of subsection (2), over the period beginning with the first day of January, nineteen hundred and twenty-nine, or with the commencement of the trade or business, whichever is the later, and ending with the end of the standard period,

the character of the trade or business has remained substantially unchanged and that, throughout the said period, the trade or business has substantially retained and maintained its fixed assets and its productive manufacturing or trading potentialities, as the case may be:

Provided that the Commissioners may, if they think it just so to do, direct that, notwithstanding that the said condition is not fulfilled, such increase shall be made in the standard profits as may be specified in the direction, being an increase smaller than that which would have fallen to be made if the said condition had been fulfilled.

An appeal shall lie to the Board of Referees from any determination of the Commissioners under this subsection which would not otherwise be subject to such an appeal.

(5) This section applies to the computation of the standard profits of a trade or business for any chargeable accounting period ending after the end of March, nineteen hundred and forty, subject, however, as respects any such chargeable accounting period which begins before the said end of March, to the provisions of section thirty-three of this Act.

Addition to
standard
profits in
the case of

31.—(1) If, in the case of any trade or business which includes the mining of any metal or the getting of oil from oil wells, the mining or getting of which is, in the opinion of the Treasury,

of exceptional importance for the purposes of the prosecution of the war, the Treasury certify that an increase in output of the metal or oil over output at the normal rate is essential in the national interest, then, unless the certificate is revoked, the following provisions shall have effect.

PART III.
—cont.
concerns
producing
certain
metals and
oil.

(2) If the profits in any chargeable accounting period include profits attributable to additional output of the metal or oil due to the war, the standard profits of the trade or business for that chargeable accounting period shall, if the date by which the source of the metal or oil might, but for the war, have been expected to have been exhausted falls within one of the periods specified in the first column of the Second Schedule to this Act, be increased by not more than the percentage specified in relation to that period in the second column of that Schedule of an amount representing profit at the normal rate on that additional output.

(3) The Treasury may make regulations for carrying this section into effect, and those regulations may in particular lay down rules to be followed in determining for the purposes of this section the extent of the natural deposits which are to be taken as constituting a source of the metal or oil, the date by which any such source might, but for the war, have been expected to have been exhausted, the question whether there is any, and if so what, additional output due to the war, and the question what amount is to be taken to represent profit at the normal rate on any such additional output.

(4) The question whether, by virtue of this section and the regulations made thereunder, any, and if so what, addition is to be made to the standard profits of any trade or business for any chargeable accounting period shall be determined by the Commissioners, subject, however, to an appeal to the Board of Referees.

(5) This section shall not apply to any chargeable accounting period the standard profits for which are ascertained by reference to the minimum amount specified in subsection (2) of section thirteen of the Finance (No. 2) Act, 1939, and (without prejudice to the generality of the powers conferred by subsection (3) of this section) the regulations under the said subsection (3) may make special provision for chargeable accounting periods the standard profits for which are ascertained under subsection (8) of section thirteen of the Finance (No. 2) Act, 1939, or are affected by a direction under section twenty-seven of the Finance Act, 1940.

(6) This section applies to the computation of the standard profits of a trade or business for any chargeable accounting period ending after the end of March, nineteen hundred and

PART III.
—cont.

forty, subject, however, as respects any such chargeable accounting period which begins before the said end of March, to the provisions of section thirty-three of this Act.

Miscellaneous
amendments of
s. 27 of
Finance
Act, 1940.

32.—(1) In subsections (3), (4) and (5) of section twenty-seven of the Finance Act, 1940, for references to the Board of Referees there shall be substituted references to the Commissioners.

(2) For subsection (7) of the said section twenty-seven there shall be substituted the following subsection—

“(7) An application under this section shall not be entertained unless notice thereof is given in writing to the inspector of taxes before the end of March, nineteen hundred and forty-two, unless the Commissioners allow a longer period.”

(3) At the end of the said section twenty-seven there shall be inserted the following subsection—

“(9) If the person carrying on the trade or business is dissatisfied with any determination of the Commissioners under this section, he may appeal to the Board of Referees; ”

and in subsection (2), the words from “ If the person ” to the end of the subsection shall be omitted.

(4) The amendments effected by the foregoing provisions of this section shall be deemed always to have had effect:

Provided that any determination of the Board of Referees given before the passing of this Act of an application under subsection (3) of the said section twenty-seven shall be treated as if it had been a determination given on appeal from the Commissioners.

(5) Notwithstanding anything in subsection (8) of the said section twenty-seven—

(a) a determination of an application under subsection (2) or subsection (3) of that section may fix a different amount as respects the period before, and the period after, the end of March, nineteen hundred and forty;

(b) an application may be made under either of those subsections to vary a previous determination of an application thereunder so as to give effect to any provision of this Act amending the said section twenty-seven.

An application made by virtue of paragraph (b) of this subsection shall be made to the Commissioners notwithstanding that the determination sought to be varied was made, or confirmed on appeal, by the Board of Referees; but the determination of the Commissioners on any such application shall be subject to the same right of appeal as a determination by them of any other application under the said section.

33.—(1) The provisions of this section apply to any chargeable accounting period falling partly before and partly after the end of March, nineteen hundred and forty, and in this section—

- (a) references to the whole period, the first part of the period, and the second part of the period shall be construed respectively as references to the whole of any such chargeable accounting period, so much thereof as falls before the said end of March, and so much thereof as falls after the said end of March;
- (b) the expression "excess profits" means the amount by which the profits for any period exceed the standard profits therefor;
- (c) the expression "the amending provisions" means the provisions of sections twenty-nine, thirty and thirty-one of this Act.

PART III.
—cont.
Provisions
as to
chargeable
accounting
periods
partly
before and
partly after
the end of
March,
1940.

(2) The profits or loss of, and the standard profits for, the whole period shall be computed, first on the basis that the amending provisions do not apply to the period and secondly on the basis that the said provisions do apply to the period, and it shall then be ascertained, on each basis, whether there are excess profits or a deficiency of profits for the whole period, and if so what is the amount thereof.

(3) There shall be deemed to be, for the first part of the period, excess profits or a deficiency of profits, as the case may be, equal to an apportioned part of the excess profits or deficiency of profits ascertained under subsection (2) of this section on the first basis mentioned therein, and there shall be deemed to be, for the second part of the period, excess profits or a deficiency of profits, as the case may be, equal to an apportioned part of the excess profits or deficiency of profits ascertained under subsection (2) of this section on the second basis mentioned therein; and for the purpose of determining the rate at which excess profits tax is to be charged on any excess profits and of giving relief for deficiencies of profits under the enactments relating to excess profits tax, and for the purposes of section twenty-eight of this Act, the first part of the period and the second part of the period shall each be treated as if it were a separate chargeable accounting period.

Any apportionment required to be made by this subsection shall be made by reference to the number of months or fractions of months in each of the parts of the whole period.

(4) Subsection (3) of section twenty-six of the Finance Act, 1940, is hereby repealed.

34.—(1) If, in computing the profits or loss of a trade or business for any accounting period beginning after the end of March, nineteen hundred and forty-one, any expenses for directors' fees or other payments for services are disallowed

Power to
recover
where
expenses of
payments

PART III
—cont.
for services
are
disallowed
in
computing
profits.

under section thirty-two of the Finance Act, 1940, then, subject to the provisions of this section, any person who pays or bears any additional tax as a consequence of that disallowance shall be entitled to recover from the persons to whom the fees or payments were payable the full amount disallowed in relation to them respectively:

Provided that if the total amount so disallowed is greater than the additional tax, the amounts which may be recovered from the said persons shall be reduced proportionately so that in all not more than an amount equal to the additional tax is recoverable.

A person shall be deemed for the purposes of this subsection to have paid additional tax as a consequence of a disallowance if and to the extent only that the total excess profits tax and national defence contribution paid exceeds the total excess profits tax and national defence contribution which would have been payable but for the disallowance.

(2) No sum shall be recoverable from any person under subsection (1) of this section unless within thirty days from the date on which a notification of the decision of the Commissioners under the said section thirty-two is served on the person carrying on the trade or business, or, in the case of a notification served before, or not later than two months after, the date of the passing of this Act, within three months from the date of the passing of this Act, the person carrying on the trade or business gives notice in writing to the inspector of taxes named in that behalf in the notification, and to the person to whom the disallowed fees or payments were payable, that the right of recovery conferred by this section is reserved against that person in relation to that disallowance; and where notice is so given, the person against whom the right is reserved may appeal to the Board of Referees against the decision of the Commissioners to make the disallowance.

(3) Where any sum is recovered under this section from any person, the income tax payable by him shall be computed as if the fees or payments in question had been reduced by the sum recovered, and relief shall be given accordingly by repayment or otherwise.

(4) Where a person recovers any sum under this section—

- (a) for the purposes of the enactments relating to the relief for deficiencies of profits, his profits chargeable with excess profits tax; and
- (b) for the purposes of the enactments relating to the relation of excess profits tax to income tax or the national defence contribution. and to the relation to one another

of members of groups of companies, his liability to excess profits tax,

PART III.
—cont.

shall be treated as reduced by the sum recovered, and section twenty-eight of this Act shall have effect in relation to him as if the reference therein to the total sum paid by him by way of excess profits tax and the national defence contribution were a reference to the total sum which would have been so paid by him, if his profits chargeable with excess profits tax were reduced as aforesaid.

(5) A person who has paid tax but has a right to recover it—

- (a) from the Crown under the enactments relating to the relief for deficiencies of profits; or
- (b) from another member of the same group of companies under paragraph 8 of Part IV of the Fifth Schedule to the Finance Act, 1940;

shall, to the extent that he has exercised that right, and to that extent only, be disentitled to recover under this section by virtue of that payment.

(6) This section applies in relation to accounting periods falling partly before and partly after the end of March, nineteen hundred and forty-one, as it applies in relation to accounting periods falling wholly after the said end of March, except that so much only of any fees or payments disallowed for that period under section thirty-two of the Finance Act, 1940, shall be taken into account for the purposes of this section as is properly apportionable to the part of the period falling after the said end of March; and any such apportionment shall be made by reference to the number of months or fractions of months in each of the parts of the accounting period.

35.—(1) Where the Commissioners are of opinion that the main purpose for which any transaction or transactions was or were effected (whether before or after the passing of this Act) was the avoidance or reduction of liability to excess profits tax, they may, if they think fit, direct that such adjustments shall be made as respects liability to excess profits tax as they consider appropriate so as to counteract the avoidance or reduction of liability to excess profits tax which would otherwise be effected by the transaction or transactions.

Trans-
actions
designed to
avoid
liability
to excess
profits tax.

(2) Without prejudice to the generality of the powers conferred by subsection (1) of this section, the powers conferred thereby extend—

- (a) to the charging with excess profits tax of persons who, but for the adjustments, would not be chargeable with any tax, or would not be chargeable to the same extent;
- (b) to the charging of a greater amount of tax than would be chargeable but for the adjustments.

PART III.
—cont.

(3) Any person aggrieved by a direction of the Commissioners under this section may appeal to the Special Commissioners, whether on the ground that the main purpose of the transaction or transactions was not the avoidance or reduction of liability to tax or on the ground that no direction ought to have been given or that the adjustments directed to be made are inappropriate.

Disallowance for excess profits tax purposes of certain payments in respect of war injuries to employees.

36. Section seventeen of this Act (which provides for income tax purposes for the disallowance of certain payments in respect of war injuries to employees) shall, with any necessary adaptations, apply to the computation for the purposes of excess profits tax of profits for all chargeable accounting periods ending after the end of March, nineteen hundred and forty; but no payment made before the said end of March shall be disallowed by virtue of this section.

Treatment for purposes of excess profits tax of trades and businesses affected by certain arrangements for concentration of industry or business.

37.—(1) Section eighteen of this Act (which relates to the treatment for income tax purposes of trades affected by certain arrangements for the concentration of industry or business) shall not affect the computation of profits for the purposes of excess profits tax, but the following provisions of this section shall have effect for the purposes of excess profits tax in relation to any arrangements to which that section applies.

(2) Where, in pursuance of any such arrangements, a person ceases to carry on all or any of the activities theretofore carried on by him in connection with his trade or business, or undertakes activities not theretofore carried on by him in connection with his trade or business, the cessation or undertaking of the activities shall not be treated as effecting a discontinuance of that trade or business or the setting up or commencement of a new trade or business.

(3) Any sum becoming payable, in pursuance of any such arrangements, to, or to the successor of, any such person as is mentioned in the last preceding subsection by any other person who was or has become a party to the arrangements, not being either a sum in the nature of a capital payment or interest on borrowed money or other consideration given for the use of borrowed money, shall—

- (a) be allowed as a deduction in computing the profits of the trade or business of the person by whom the said sum becomes payable; and
- (b) be treated as a trading receipt of the person to whom the said sum becomes payable and be taken into account accordingly in computing the profits of the trade or business of that person.

PART III.
—cont.

(4) Where a person who, in pursuance of any such arrangements, ceases to carry on all or any of the activities theretofore carried on by him in connection with his trade or business, is a partnership or a company the directors whereof have a controlling interest therein, any sum becoming payable, in pursuance of the arrangements, to a partner in, or director of, that partnership or company by any other person who was or has become a party to the arrangements, not being either a sum in the nature of a capital payment or interest on borrowed money or other consideration given for the use of borrowed money, shall be treated (for all the purposes of the enactments relating to excess profits tax, including the purposes of the last preceding subsection) as if it had become payable to the partnership or company and had then become payable by the partnership or company to the partner or director as a distribution of profits, or as directors' remuneration, as the case may be.

(5) Where, in pursuance of any such arrangements, plant or machinery of any such person as is mentioned in subsection (2) of this section remains unused during any period, the amount of any deduction allowable under paragraph 2 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939, in respect of the wear and tear of that plant or machinery shall be computed as if the plant or machinery were in normal use.

(6) For the purposes of this section, the expression " person " includes a partnership.

38. Paragraph 3 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939 (which provides for an allowance for exceptional depreciation of certain assets) shall be amended in the manner set out in the Third Schedule to this Act.

Amend-
ments as to
exceptional
deprecia-
tion.

39.—(1) Where for the purposes of excess profits tax the profits arising in any chargeable accounting period fall to be ascertained, then, in applying the definition of the expression " income tax principles " in subsection (1) of section fourteen of the Finance (No. 2) Act, 1939, regard shall be had to the income tax law in force with respect to the year of assessment in which that chargeable accounting period ends:

General
provisions
as to com-
putation
of profits.

Provided that this subsection shall have effect subject to any provision of this or any other Act (whether passed before or after this Act) which—

- (a) applies to excess profits tax (with or without modifications) a specified provision of the law relating to the computation of profits or gains for the purposes of income tax; and
- (b) directs that that provision shall apply to the computation for the purposes of excess profits tax of profits for specified chargeable accounting periods.

PART III.
—cont.

(2) In ascertaining the profits arising in the standard period for the purpose of arriving at the standard profits in relation to any chargeable accounting period, the same principles shall be applied as those which (whether by virtue of subsection (1) of this section or otherwise) fall to be applied in ascertaining the profits arising in that chargeable accounting period.

Director-controlled companies.

40. In considering for the purposes of any of the enactments relating to excess profits tax whether the directors of a company have at any date a controlling interest therein, no body corporate shall be treated as a director unless it is at that date itself a company the directors whereof have a controlling interest therein.

Amendment of provisions relating to relief in respect of excess profits tax in dominions &c.

41. In subsection (2) of section thirty of the Finance Act, 1940 (which provides for relief from excess profits tax where excess profits tax is also payable in a part of His Majesty's dominions), for the words "so, however, that the effect of the adjustment shall not be less favourable to the tax-payer than the effect of allowing the deduction" there shall be substituted the words "so, however, that the effect of the adjustment, taken in conjunction with any adjustment in the said part of His Majesty's dominions outside the United Kingdom, shall not be less favourable to the tax-payer than the effect of allowing the deduction".

Provisions as to groups of companies.

42. The provisions of the Fourth Schedule to this Act shall have effect in relation to bodies corporate which at any time are members of a group of companies within the meaning of the Fifth Schedule to the Finance Act, 1940.

Provisions as to the national defence contribution.

43.—(1) The following provisions of this Part of this Act, that is to say—

- (a) section thirty-six (which disallows certain payments in respect of war injuries to employees in computing profits for the purposes of excess profits tax); and
- (b) section thirty-seven (which relates to the treatment for those purposes of trades and businesses affected by certain arrangements for the concentration of industry or business); and
- (c) subsection (1) of section thirty-nine (which defines further the expression "income tax principles"),

shall apply to the national defence contribution as well as to excess profits tax, subject, however, to any necessary adaptations and modifications, and in particular as if—

- (i) any reference to paragraph 2 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939, were a reference to paragraph 3 of the Fourth Schedule to the Finance Act, 1937; and

- (ii) any reference to section fourteen of the Finance (No. 2) Act, 1939, were a reference to section twenty of the Finance Act, 1937.

PART III.
—cont.

(2) Paragraph 3 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939, and subsection (1) of section thirty-three of the Finance Act, 1940 (which provide for an allowance for exceptional depreciation of certain assets in computing profits for the purposes of excess profits tax) shall apply to the computation of profits for the purposes of the national defence contribution as well as to the computation of profits for the purposes of excess profits tax, subject, however, to any necessary adaptations and modifications, and, in particular, as if—

- (a) any references to an accounting period which constitutes or includes a chargeable accounting period were references to any accounting period beginning after the end of March, nineteen hundred and thirty-nine, and such part of any other accounting period as falls after the said end of March; and
- (b) the reference to paragraph 2 of Part I of the Seventh Schedule to the Finance (No. 2) Act, 1939, were a reference to paragraph 3 of the Fourth Schedule to the Finance Act, 1937.

44. Save as otherwise expressly provided, the amendments effected by the provisions of this Part of this Act shall, as respects excess profits tax, have effect with respect to tax for all chargeable accounting periods, whether before or after the passing of this Act, and, as respects the national defence contribution, have effect with respect to all accounting periods beginning on or after the first day of April, nineteen hundred and thirty-nine, and so much of any accounting period beginning before that date as falls on or after that date.

Date from which amendments are to operate.

PART IV.

MISCELLANEOUS AND GENERAL.

45.—(1) Property which, at any time during the period of the present emergency, is given absolutely before the death of the donor for the use of His Majesty, shall be exempt from estate duty on the death of the donor.

Exemption from estate duty of gifts to His Majesty.

(2) In this section, the expression "the period of the present emergency" means the period beginning on the third day of September, nineteen hundred and thirty-nine, and ending on such date as may be declared by His Majesty under the Courts (Emergency Powers) Act, 1939, to be the date on which the emergency that was the occasion of the passing of that Act came to an end.

2 & 3
Geo. 6.
c. 67.

PART IV.
—cont.

(3) This section shall have effect and be deemed always to have had effect in relation to all deaths, whether occurring before or after the passing of this Act.

Relief from
death duties
in case of
deaths due
to opera-
tions of war.
14 & 15
Geo. 5.
c. 21.

46.—(1) If, in the case of any death, it is proved to the satisfaction of the Commissioners of Inland Revenue that it is a death to which this section applies, they shall give the same relief from death duties as, under section thirty-eight of the Finance Act, 1924 (which relates to certain deaths of members of His Majesty's forces) is to be given in the cases to which that section applies; and the deaths to which this section applies shall be deemed, for the purposes of subsection (2) of section sixty-four of the Finance Act, 1940 (which provides for the remission in certain cases of death duties on property passing on successive deaths), to be included among the deaths to which that subsection applies, and that subsection shall have effect accordingly:

Provided that the relief to be given under this subsection in the case of a married woman whose husband survives her shall be calculated as if, in the enactments referred to in section thirty-eight of the Finance Act, 1924, any reference to a widow included a reference to a surviving husband.

(2) This section applies to the death of any person from injuries received by him, whether before or after the passing of this Act, but during the period of the present emergency and within twelve months of his death, being injuries caused by the operations of war:

Provided that this section does not apply to deaths from such causes as are mentioned in section thirty-eight of the Finance Act, 1924, of persons to whom that section applies, or to deaths from such causes as are mentioned in subsection (1) of section sixty-four of the Finance Act, 1940, of persons to whom that subsection applies.

(3) In this section the expression "the period of the present emergency" means the period beginning on the third day of September, nineteen hundred and thirty-nine and ending on such date as may be declared by His Majesty under the Courts (Emergency Powers) Act, 1939, to be the date on which the emergency that was the occasion of the passing of that Act came to an end.

Extension
of time for
lodging
stated
cases.

47.—(1) Paragraph (d) of subsection (1) of section one hundred and forty-nine of the Income Tax Act, 1918 (which provides that the party requiring a case to be stated shall transmit the case, when stated and signed, to the High Court or Court of Session within seven days after receiving it) shall, in relation to cases to which this section applies, have effect, and be deemed always to have had effect, as if for the words "seven days" there were substituted the words "twenty-one days".

(2) This section applies to every case stated and signed under the said section one hundred and forty-nine, whether as originally enacted or as applied by any other enactment, being a case which was received not earlier than twenty-one days before the passing of this Act by the party who required it.

PART IV.
—cont.

48.—(1) The Commissioners may, subject to such conditions as they may impose for the protection of the Revenue, remit the tax chargeable under subsection (1) of section twenty-five of the Finance (No. 2) Act, 1940, on the appropriation or application of any goods by a wholesale merchant or manufacturer, if they are satisfied—

Exemption from purchase tax of gifts by wholesalers and manufacturers for relief of distress.

(a) that the goods were appropriated or applied by way of gift to a charity; and

(b) that the goods were so appropriated or applied for the purpose of relieving distress and will be kept or distributed, or have been distributed, by the charity for that purpose.

(2) In this section the expression "charity" means any body of persons or trust established for charitable purposes.

(3) This section shall be construed as one with Part V of the Finance (No. 2) Act, 1940.

49.—(1) The permanent annual charge for the National Debt for the financial year ending with the thirty-first day of March, nineteen hundred and forty-two, shall be the sum of two hundred and fifty-five million pounds instead of the sum of three hundred and fifty-five million pounds.

Provisions as to permanent annual charge for the National Debt.

(2) The Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, for providing any sums required during the said financial year for the purposes mentioned in paragraph (a) or paragraph (b) of subsection (4) of section twenty-three of the Finance Act, 1928, and the amount required by the said subsection (4) to be issued from the permanent annual charge for the National Debt for the purposes aforesaid in that year shall be decreased by the amount raised under this subsection.

2 & 3 Geo. 6.
c. 117.

18 & 19
Geo. 5.
c. 17.

(3) Any securities created and issued to raise money under the last preceding subsection shall be deemed for all purposes to have been created and issued under the National Loans Act, 1939.

50. No issue shall be made out of the Consolidated Fund under section forty-eight of the Finance Act, 1930 (which provides in the case of a deficit in any year for the redemption in the next year of a corresponding amount of debt) in respect of the deficit for the financial year ending with the thirty-first day of March, nineteen hundred and forty-one.

Amendment as to deficit for 1940-41.
20 & 21
Geo. 5.
c. 28.

PART IV.

—*cont.*

Repeal of obligation of Crown to pay interest on funds in Court free of tax.

15 & 16 Geo. 5.
c. 49.

Short title, construction and extent.

39 & 40
Vict. c. 36.

51. In subsection (1) of section one hundred and forty-one of the Supreme Court of Judicature (Consolidation) Act, 1925 (which provides that certain funds in court shall bear interest at the rate of two per cent. per annum together with any income tax chargeable thereon), the words "together with any income tax chargeable thereon" are hereby repealed as from the first day of October, nineteen hundred and forty-one.

52.—(1) This Act may be cited as the Finance Act, 1941.

(2) Part I of this Act—

(a) so far as it relates to duties of customs, shall be construed as one with the Customs Consolidation Act, 1876; and

(b) so far as it relates to duties of excise, shall be construed as one with the Acts which relate to the duties of excise and to the management of those duties.

(3) Part II of this Act shall be construed as one with the Income Tax Acts.

(4) Part III of this Act, so far as it relates to excess profits tax, shall be construed as one with Part III of the Finance (No. 2) Act, 1939.

(5) Any reference in this Act to any other enactment shall, unless the context otherwise requires, be construed as a reference to that enactment as amended by any subsequent enactment, including this Act.

(6) Such of the provisions of this Act as relate to death duties shall not extend to Northern Ireland.

(7) The enactments set out in the Fifth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULES.

FIRST SCHEDULE

RECOVERY ETC. OF TAX ASSESSED UNDER RULE 8 OF NO. VII OF SCHEDULE A.

Sections 12
and 15.

PART I.

Provisions as to recovery from the landlord where he is not the person named in the assessment.

1. Legal proceedings shall not be instituted against a person as having been the landlord on the first day of January in the year of assessment (where he is not the person named in the assessment) until the expiration of twenty-one days from the service on him by the surveyor of a notice in writing, in the prescribed form, specifying the land and the amount of tax claimed and stating that it is intended to proceed against him for the recovery thereof as having been the landlord of that land on the first day of January in the year of assessment for which the assessment was made.

2. Any person served with such a notice may appeal to the General Commissioners on giving within the said period of twenty-one days notice in writing to the surveyor of his intention to appeal and stating the grounds of his appeal.

3. Any such appeal may be against the amount of the assessment or may be founded upon the contention that the appellant was not the landlord of the land on the said first day of January:

Provided that no such appeal shall lie against the amount of the assessment if an appeal has already been brought against it by him or by any other person under any other provision of the Income Tax Acts.

4. If any appeal is brought under this Schedule, or if any appeal is pending under any other provision of the Income Tax Acts at the date of the service of the notice, no legal proceedings shall be instituted against any such person as is mentioned in paragraph 1 of this Schedule to recover the tax until the General Commissioners have determined the appeal.

5. Where no appeal is brought or is pending as aforesaid, it shall be conclusively presumed that the person on whom the notice was served was the landlord of the land on the said first day of January and that the amount of tax specified in the notice is due from him so far as it still remains unpaid; and where an appeal is brought or is pending as aforesaid, the same presumption shall be made except so far as it is inconsistent with the determination of the appeal.

1ST SCH.
—cont.

6. A certificate of the surveyor as to any of the following matters, that is to say, the service of such a notice as aforesaid, the contents of the notice, and the fact that no appeal was brought or pending as aforesaid, a certificate of the clerk to the General Commissioners as to the bringing and the results of any such appeal, and a certificate of the collector that the sum specified in the certificate has become due and remains unpaid in respect of the tax in respect of the land in question, being, in any case, a certificate in the prescribed form, shall, in any legal proceedings, be sufficient evidence of the facts stated in the certificate; and any document purporting to be any such certificate as it is mentioned in this paragraph shall be deemed to be such a certificate until the contrary is proved.

7. A person on whom a notice is served under this Schedule shall not thereafter be entitled to give notice of appeal against the assessment under paragraph 3 of Part II of the First Schedule to the Finance Act, 1930.

8. This Schedule applies to the distraining of a person by his goods and chattels or the pouncing of the goods and effects of a person as it applies to the institution of legal proceedings against him.

PART II.

Recovery by requiring payment over of rent.

1. The collector may serve a notice in writing in the prescribed form on the landlord for the time being or on any other person who receives any rent paid in respect of the whole or any part of the land to which the assessment relates (being rent received in the right of the landlord or by virtue of an assignment or mortgage of, or charge on, some right of the landlord in, or in rent from, the whole or some part of the land) requiring the landlord or other such person as aforesaid to pay to the collector in or towards the satisfaction of the tax any sums from time to time received on account of rent, or as the case may be, such rent as aforesaid, until the liability in respect of the tax has been satisfied, and the person on whom the notice is served shall pay all such sums over to the collector accordingly and, if he is accountable for the rent to any other person, he shall be acquitted and discharged as against that other person by the payment.

2. If any landlord or other person on whom a notice has been duly served as aforesaid fails to comply with the requirements of the notice, he shall, in respect of each payment of rent with respect to which any such failure occurs, be liable to a penalty not exceeding fifty pounds.

PART III.

Recovery from occupiers.

1. The collector may from time to time by notice in writing in the prescribed form demand from the occupiers for the time being of all or any of the parts of the house or building payment, on the date or dates specified in the notice, of such sum or sums as may be required to satisfy the tax:

Provided that—

1ST SCH.
—cont.

- (a) no such notice shall demand from the occupier of any part payment of any sum on a date after the last date on which rent becomes due from him in respect of that part; and
- (b) the sum demanded from the occupier of any part to be paid during any period during which rent is accruing due from him in respect of that part shall not exceed the amount of that rent becoming due at the end of that period.

2. In default of payment by any occupier of any amount duly demanded of him under this Part of this Schedule, that amount may be recovered from him in like manner as if he had been charged with tax of that amount.

3. Where any sum on account of the tax has been collected from an occupier in pursuance of this Part of this Schedule, he may deduct that sum from any subsequent payment on account of rent and shall be acquitted and discharged of the amount so deducted.

SECOND SCHEDULE.

Section 31.

MAXIMUM PERCENTAGES (METALS AND OIL).

Period.	Percentage.
The years 1946 to 1950 (inclusive)	30
The years 1951 to 1960 (inclusive)	20
The years 1961 to 1970 (inclusive)	10
The years 1971 to 1990 (inclusive)	5

THIRD SCHEDULE.

Section 38.

AMENDMENTS OF PARAGRAPH 3 OF PART I OF THE SEVENTH SCHEDULE TO THE FINANCE (NO. 2) ACT, 1939.

1. For sub-paragraph (1), the following sub-paragraph shall be substituted—

“(1) Where any buildings, plant or machinery have, after the beginning of the year nineteen hundred and thirty-seven, been provided for the purpose of the trade or business by the person carrying on the trade or business, then if either—

- (a) on such date as Parliament may hereafter determine, the buildings, plant or machinery have, wholly or partially, become obsolete or ceased to be required and the value thereof is less than the net cost thereof; or

- (b) the buildings, plant or machinery are sold before the said date at a price which is less than the net cost thereof,

and in either case the deficiency is wholly or mainly ascribable to conditions prevailing as a consequence of the present war and exceeds—

- (i) the aggregate amount of any deductions for wear and tear or depreciation already allowed in respect of the buildings.

3RD SCH.
—cont.

plant or machinery otherwise than under this paragraph (together with the appropriate proportion of any deductions for wear and tear or depreciation given for income tax purposes for the year 1938-39 or any previous year of assessment); plus

- (ii) any payments made or to be made under Part I or Part II of the War Damage Act, 1941, in respect of damage to the buildings, plant or machinery, other than payments in respect of damage made good before the said date or before the previous sale of the buildings, plant or machinery, as the case may be,

there shall be allowed in respect of each accounting period which constitutes or includes a chargeable accounting period such proportion of the excess as is properly attributable to that accounting period; and if any plant or machinery in respect of which an allowance has been made under this paragraph is replaced, no allowance other than that made under this paragraph shall be made in respect of the amount expended in replacement thereof.

The reference in this sub-paragraph to deductions for wear and tear shall be construed as including a reference to the additional percentage for which provision is made by paragraph 2 of this Part of this Schedule, and, in the case of a deduction for income tax purposes, to the additional deduction under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938."

2. For sub-paragraph (3) there shall be substituted the following sub-paragraph—

"(3) In this paragraph, the expression 'net cost' means, in relation to any buildings, plant or machinery, the cost of the provision thereof (being cost of a capital nature) less any sum provided, or to be provided, directly or indirectly by the Crown or by any government or public or local authority, whether in the United Kingdom or elsewhere, or by any other person other than the person or persons carrying on the trade or business, towards the cost of the provision of the buildings, plant or machinery, or towards any wear and tear or depreciation thereof, not being a sum provided, or to be provided, either by way of loan or under Part I or Part II of the War Damage Act, 1941; and references to Part I of the War Damage Act, 1941, shall be construed as including references to any similar Act relating to war damage to which the said Part I does not apply."

Section 42.

FOURTH SCHEDULE.

PROVISIONS AS TO GROUPS OF COMPANIES.

1. Subsection (2) of section twenty-six of the Finance Act, 1940 (which contains provisions for securing that deficiencies occurring after the end of March, nineteen hundred and forty, shall, so far as possible, be applied to reduce profits arising after the said end of March and deficiencies

occurring before the said end of March shall, so far as possible, be applied to reduce profits arising before the said end of March) shall, in its application to a deficiency of profits of a body corporate for any chargeable accounting period during which it is a member of a group of companies, be construed as follows, that is to say—

- (a) the references to profits (except in the phrase “deficiency of profits”) shall be construed as including all profits on which the principal company is assessable to excess profits tax; and
- (b) the references to profits arising in another chargeable accounting period shall be construed as including references to profits arising in the same period but to another member of the group,

and the said subsection (2), so construed, shall have effect notwithstanding anything in sub-paragraph (2) of paragraph 6 of Part IV of the Fifth Schedule to the Finance Act, 1940 (which relates to deficiencies of members of groups of companies) as well as anything in subsection (2) of section fifteen of the Finance (No. 2) Act, 1939.

The reference in this paragraph to profits on which the principal company is assessable has the same meaning as in the said sub-paragraph (2) of paragraph 6 of Part IV of the Fifth Schedule to the Finance Act, 1940.

2. Section twenty-eight of this Act (which provides for the repayment after the war of certain excess profits tax) shall, in relation to any body corporate which at any time while the tax is at the rate of a hundred per cent. is a member of a group of companies, have effect subject to such adaptations and modifications as may be prescribed by the Commissioners.

3. In section twenty-nine of this Act, and in section twenty-seven of the Finance Act, 1940, as amended by the said section twenty, the expression “borrowed money” shall not include any borrowed money the debt in respect whereof is such a debt as is mentioned in subsection (1) or subsection (1A) of section seventeen of the Finance (No. 2) Act, 1939.

4. Section thirty of this Act (which relates to losses) shall, in relation to a member of a group of companies the trades or businesses of none of the members of which were being carried on on or before the first day of July, nineteen hundred and thirty-six, have effect subject to the following modifications—

- (a) an increase shall only be allowed under subsection (1) thereof if the aggregation of all the profits and losses of all the trades or businesses of all the members of the group over the period mentioned in the said subsection (1) shows a net loss, and if such an increase is allowed, it shall in no case exceed such part of that net loss as may be determined by the Commissioners;
- (b) for the purpose of ascertaining whether the condition specified in subsection (4) thereof is fulfilled, all the trades or businesses of all the members of the group shall be treated as one trade or business;
- (c) if the principal company is dissatisfied with any determination of the Commissioners under sub-paragraph (a) of this paragraph, it may appeal to the Board of Referees.

4TH SCH.
—cont.

5. The powers of the Commissioners and the Board of Referees under section twenty-seven of the Finance Act, 1940, as applied by the Fifth Schedule to that Act, shall, in relation to any trade or business affected by any provision of this Act amending the said section, include power to proceed as if the provisions of the said Fifth Schedule so applying the said section were adapted and modified to such extent, if any, as they may think necessary in order to enable effect to be given to that amending provision.

6.—(1) In sub-paragraph (5) of paragraph 3 of Part III of the Fifth Schedule to the Finance Act, 1940, for the words "the Board of Referees" (in both places where those words occur) there shall be substituted the words "the Commissioners", and at the end of that sub-paragraph the following words shall be inserted—

"If the principal company is dissatisfied with any determination of the Commissioners under this sub-paragraph, it may appeal to the Board of Referees."

(2) For paragraph (i) of sub-paragraph (3) of paragraph 3 of Part II of the said Fifth Schedule there shall be substituted the following paragraph—

"(j) notwithstanding anything in sub-section (8) of the said section, on the termination of a relevant period the Commissioners may, either on the application of the principal company or of their own motion, vary, as respects subsequent relevant periods, any determination in force under the said section with respect to that period, whether given originally or on appeal, if it appears to them that the circumstances have materially changed, and any decision of the Commissioners so to vary or not so to vary a determination shall be subject to an appeal by the principal company to the Board of Referees."

7. The references in subsection (2) of section thirty-four of this Act (which relates to the recovery of disallowed expenses for fees or services) to the person carrying on the trade or business shall, if that person is a body corporate which is a member of a group of companies, be construed as references to the principal company.

8. Where the standard profits of a group of companies fall to be ascertained under Part II of the Fifth Schedule to the Finance Act, 1940, any principles may be applied which would fall to be applied in ascertaining the profits of any chargeable accounting period falling wholly or partly within the relevant period as defined for the purposes of the said Part II; but in ascertaining, by reference to the standard profits of the group, the standard profits of any member thereof in relation to any chargeable accounting period, such adjustment, if any, shall be made as is necessary to produce the result which would have been produced if, in ascertaining the standard profits of the group, the same principles had been applied as those which fall to be applied in ascertaining the profits of that chargeable accounting period.

9. Any reference in Part III of this Act to the minimum amount specified in subsection (2) of section thirteen of the Finance (No. 2) Act,

1939, shall be construed as including a reference to the minimum standard as defined in paragraph 4 of Part II of the Fifth Schedule to the Finance Act, 1940.

4TH SCH
—cont.

10. Expressions have the same meanings in this Schedule as they have in the Fifth Schedule to the Finance Act, 1940.

FIFTH SCHEDULE.

Section 52.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
8 & 9 Geo. 5. c. 40 -	The Income Tax Act, 1918.	Rule 8 of the Rules applicable to Schedule B.
3 & 4 Geo. 6. c. 29 -	The Finance Act, 1940.	Subsection (2) of section fourteen; subsection (3) of section twenty-six; and in subsection (2) of section twenty-seven, the words "If the person carrying on the trade or business is dissatisfied with any determination of the Commissioners under this subsection he may appeal to the Board of Referees."

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